INTERNATIONAL MARITIME ORGANIZATION

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MARINE ENVIRONMENT PROTECTION COMMITTEE
2nd extraordinary session
Agenda item 2

MEPC/ES.2/2/2
14 July 2025
Original: ENGLISH
Pre-session public release: ☒

CONSIDERATION AND ADOPTION OF AMENDMENTS TO MANDATORY INSTRUMENTS

Suggested amendment to draft regulation 39.2 of MARPOL Annex VI

Submitted by ICS

SUMMARY

Executive summary:	ICS comments on document MEPC/ES.2/2 (Secretariat). Whilst ICS urges the Committee to adopt draft Revised MARPOL Annex VI 2025, as set out in the annex to document MEPC/ES.2/2, ICS suggests a single amendment, of essential importance to shipowners, to draft regulation 39.2 of MARPOL Annex VI concerning rewards to ships using zero/near-zero GHG fuels and technologies (ZNZs), which, with the Committee's agreement, needs to be given careful attention by the Drafting Group that is expected to be established by the Committee at this session.
Strategic direction, if applicable:	3
Output:	3.2
Action to be taken:	Paragraph 16
Related documents:	MEPC/ES.2/2/3, MEPC/ES.2/2, MEPC/ES.2/3, MEPC 83/17, MEPC 83/WP.11, MEPC 83/7/5, MEPC 83/7/6, MEPC 83/7/7, MEPC 83/7/8; MEPC 82/7/4/Add.2; ; ISWG-GHG 16/2/2

INTRODUCTION

1 This document comments on document MEPC/ES.2/2 (Secretariat). ICS, in document MEPC/ES.2/2/3, identifies that it is committed to pursuing net zero GHG emissions by or close to 2050 as required by the 2023 IMO GHG Strategy and that it urges all Parties to MARPOL Annex VI to adopt the draft Revised MARPOL Annex VI 2025, as set out in the annex in document MEPC/ES.2/2 (Secretariat), including the new draft Chapter 5 Regulations on the IMO Net-Zero Framework (NZF), so that the amendments can enter into force in March 2027.

2 In addition, and of essential importance to shipowners, the NZF sets out the provision

of rewards to ships to incentivize the accelerated uptake of zero/near-zero GHG fuels and technologies (ZNZs) which, it is very much hoped, will support international shipping to achieve net zero GHG emissions as soon as practicable.

SUGGESTED ADJUSTMENT TO DRAFT REGULATION 39.2 OF MARPOL ANNEX VI CONCERNING RECEIPT BY SHIPS OF REWARDS

3 Whilst ICS urges the Committee to adopt the draft Revised MARPOL Annex VI 2025, there is one important section in the new Chapter 5 concerning rewards to ships using ZNZs that, with the Committee's agreement, needs to be given careful attention by the Drafting Group that is expected to be established by the Committee at this session.

4 Draft regulation 39.2 of MARPOL Annex VI sets out that "Ships may receive rewards from the IMO Net-Zero Fund for the ZNZs used, taking into account guidelines to be developed by the Organization". ICS suggests that the word "may" should be adjusted to "shall" in the final text adopted, consistent with use of mandatory language in MARPOL Annex VI, so that the text in regulation 39.2 of MARPOL Annex VI will read "Ships shall receive rewards from the IMO Net-Zero Fund for the ZNZs used, taking into account guidelines to be developed by the Organization."

DISCUSSION

5 The use of the word "may" does not provide the necessary strong signal to the industry that it can have confidence that ships that use ZNZs will indeed receive rewards to reduce the price gap with conventional fuels. It could imply that not all ZNZs, as defined by draft regulation 2.3.19 of MARPOL Annex VI, will be treated equally when the guidelines on rewards are developed.

6 ICS understands that the inclusion of the word "may" in the draft regulatory text during the discussions at MEPC 83 may have been due to concern amongst some Member States that there might be no guarantee that the IMO Net-Zero Fund would receive sufficient revenue from GHG emissions pricing contributions from ships to cover the maximum likely cost of rewards that might be required for disbursement.

7 However, ICS observes, due to the very low availability of ZNZs, that the total amount of revenue that will be generated from ships between 2029 and 2033 will be much larger than the industry had anticipated. US$ tens of billions will be collected by the IMO Net-Zero Fund as GHG emissions pricing contributions from ships between 2029 and 2033. Because of the very low anticipated availability of ZNZs in this initial five-year period, the funds collected should therefore be more than sufficient to cover the maximum likely cost of rewards for the use by ships of ZNZs between 2028 and 2032 whilst still leaving very substantial funds available for other disbursement purposes, as set out in draft regulation 41.1.2 of MARPOL Annex VI.

8 The price of GHG emissions pricing contributions for under-compliance by ships with Annual Required GFI is fixed by draft regulations 36.8 and 36.9, and could potentially be increased by the Committee for the years 2031 onwards following the review of the price of remedial units, and thus the price of GHG emissions pricing contributions, required by draft regulation 36.10. ICS therefore asserts that it will be relatively simple for the Committee to readily calculate with a high degree of confidence a reliable estimate, which significantly errs on the side of caution, with respect to the minimum amount of revenue which will be collected by the IMO Net-Zero Fund in the five-year period between 2029 and 2033.

9 ICS considers that it will also be possible for the Committee to readily establish a reliable estimate of the maximum amount of funding that might realistically be required for disbursement as rewards between 2029 and 2033 (for ZNZs used by ships between 2028 and 2032) by taking into account the level of ambition in the 2023 IMO GHG Strategy for at least 5% (striving for 10%) of the total energy used by international shipping to come from ZNZ energy sources by 2030. The agreement by the Committee of this specific level of ambition suggests that the expected global availability of ZNZs in any calendar year between 2028 and 2032, for which rewards might need to be disbursed by the IMO Net-Zero Fund for ZNZs used during this five-year period, will be very unlikely to exceed 10% of the total energy used by international shipping (i.e. the upper end of the ZNZ energy uptake target in the 2023 IMO GHG Strategy).

10 Using cautious and realistic estimates of the minimum likely revenue from GHG emissions pricing contributions and the maximum likely uptake of ZNZs, a reward per tonne of CO_{2eq} avoided by the uptake of ZNZs[1] can then be set by the Committee at an appropriate rate, set by guidelines for a five-year period consistent with draft regulation 39.3, to ensure that sufficient funds will be available for disbursement as rewards via the IMO Net-Zero Fund.

11 Moreover, the first review of the ZNF required by draft regulation 44, within five years of entry in force of Chapter 5, should also take account of ZNZ fuel availability during this five-year period, so that, if necessary, in the unlikely event of any projected future shortfall of revenue after 2032, an adjustment could potentially be made by the Committee to the future reward rate for CO_{2eq} emissions avoided by the use of ZNZs.

12 In view of the very low current and anticipated availability of ZNZs for international shipping, until at least 2032, even if the Committee decided to use very optimistic estimates of ZNZ uptake for the years 2028 to 2032, it is therefore now possible for the Committee to determine with a high degree of confidence that the substantial GHG emissions pricing contributions which will be made by the industry to the IMO Net Zero-Fund should be more than sufficient to cover the maximum and realistically likely cost of disbursements for rewards, which the industry considers should be the primary use for the funds initially raised between 2029 and 2033 if the transition to net zero is to succeed.

13 If the Committee wishes to give the industry the confidence it needs to invest in the uptake of ZNZs, there is therefore no reason why draft regulation 39.2 should not stipulate that ships “shall” receive rewards for the use of ZNZs, in accordance with the guidelines to developed, consistent with the mandatory language used elsewhere throughout the text of MARPOL Annex VI.

CONCLUSION

14 ICS considers that the appropriate word to use in draft regulation 39.2 of MARPOL Annex VI is “shall” instead of “may”.

15 ICS emphasizes the great importance which shipowners, globally, attach to this issue, so that energy producers and shipowners can have confidence that ships that use ZNZs will indeed receive rewards, at the rate to be agreed, in order to reduce the price gap with conventional marine fuels, which, in the view of ICS, will be vital for the energy transition to succeed, as set out by the 2023 IMO GHG Strategy.

[1] A reward rate per tonne of CO_{2eq} avoided by the uptake of ZNZs is consistent with draft regulation 38.6.5 and paragraph 9 of draft Appendix XIII of MARPOL Annex VI, the draft “Form of Statement of Compliance – Annual GHG Fuel Intensity (regulation 8.5)”.

ACTION REQUESTED OF THE COMMITTEE

16 The Committee is invited to consider the comments above and agree that, subject to consideration by the Drafting Group that is expected to be established at this session, the final text adopted in regulation 39.2 of MARPOL Annex VI will read “Ships shall receive rewards from the IMO Net-Zero Fund for the ZNZs used, taking into account guidelines to be developed by the Organization.”